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MBA (3rd Semester)

Examination, Nov.-Dec., 2014

Branch : Management

TAXATION AND TAX PLANNING (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : Answer all the questions as per the instructions against each.

Unit-I

Q. 1. (a) What is Agriculture Income ? Explain in details kinds of Agriculture Income. 6

(b) Mr. Ajay had estate in Rubber, Tea and Coffee. He derives income from them. He has also a

nursery wherein he grows plants and sells. For the previous year ending 31.3.2012, he furnishes the following particulars of his source of income from estates and sale of Plants. You are requested to compute the taxable income for the Assessment Year 2012-13 : **10**

(i) Manufacture of Rubber Rs. 6,00,000

(ii) Manufacture of Coffee grown and cured Rs. 2,00,000

(iii) Manufacture of Tea Rs. 9,75,000

(iv) Sale of Plants from Nursery Rs. 3,00,000

OR

(a) What are different categories into which the assesses are divided with regard to residence ? Give a brief account of them. **6**

(b) Following are the particulars of taxable income of Mr. Ravi for the previous year ending 31st March, 2012 : **10**

(i) Income from House Property in Canada Rs. 10,000 which was deposited in the bank there. Out of which Rs. 4,000 were remitted to India.

(ii) Royalty received in India Rs. 24,000.

(iii) Income from Business in Sri Lanka Rs. 25,000 of which 15,000 were received in India. The Business was controlled from India.

(iv) Income from Investment in London Rs. 10,000.

(v) Interest received from a non-resident Rs. 5,000 against a loan given to him to run a business in India.

(vi) Royalty received from A, a resident for technical service given to run a business outside India Rs. 20,000.

(vii) Income from business in India Rs. 40,000. This business is controlled from America.

(viii) Rent received from House situated in India Rs. 10,000.

Calculate the Total Income of Mr. Ravi for the Assessment Year 2012-13, if he is (i) Resident, (ii) Non-Ordinary Resident, (iii) Non-Resident.

Unit-II

Q. 2. Mr. Gupta is Purchase Officer in a Company in Kota (Population exceeding 25 Lakh). He furnished the following particular regarding his income for the previous year 2011-12 :

(i) Net Basic salary Rs. 1,20,000 which is after deducting Rs. 2,000 for Income Tax, Rs. 10,000 as own contribution to Recognised Provident Fund and rent of the bungalow Rs. 3,600.

(ii) Bonus Rs. 1,800

(iii) Travelling Allowance Rs. 25,000.

(iv) Reimbursement of Medical Bills Rs. 15,000.

(v) He lived in a Bungalow belonging to the company. The company has provided on this bungalow the facility of gardener and a cook

each of whom is being paid Rs. 250 per month and Rs. 800 per month respectively. The company paid in respect of bungalow Rs. 4,800 for electric bill and Rs. 1,200 for water bills.

(vi) He has been provided with a large car for official and personal use. The maintenance and running expenses of car (including driver) are borne by the company.

(vii) Employers contribution to recognized provident fund Rs. 10,000.

(viii) Interest Credited @ 9.5% p.a. Rs. 9,075 to provident fund.

Compute his taxable income from salary for the assessment year 2012-13. **16**

OR

Mr. X is the owner of a big house whose municipal valuation is Rs. 36,000 per annum. 1/3rd portion of the house is let-out to a tenant at Rs. 1,600 per month for residential purpose and remaining 2/3rd portion is occupied by him for his own residence. The construction of the house was completed on 1st November, 2009. He paid the following expenses :

Municipal taxes	10% of Municipal Valuation
Insurance Premium	Rs. 600
Property Tax to State Government	Rs. 900

Mr. X had taken loan of Rs. 50,000 on 1st July 2007 for construction of this house. He paid Rs. 15,000 loan on 1st October 2011. During the previous year

he received Rs. 5,000 from old tenant as arrears of rent. This amount was allowed as deduction in past year as unrealized rent. **16**

Unit-III

Q. 3. Explain the provisions of Section 44AD & 44AE regarding computation of income from eligible business. **16**

OR

Mr. Sanjeev had an income of Rs. 2,00,000 from the hear 'Income from Business or Profession' for the previous year ending on 31st March, 2012. During the previous year he sold the following assets : **16**

(i) Residential House which was sold on December 10, 2011 for Rs. 12,00,000 was purchased by him on June 1983 for Rs. 50,000.

(ii) Silver purchased in August 1987 for Rs. 45,000 was sold on 2nd August, 2011 for Rs. 2,10,000.

(iii) Shares in Private company purchased on June 2010 for Rs. 50,000 were sold on 25th April 2011 for Rs. 65,000.

(iv) Land was purchased in January 2009 for Rs. 1,00,000 as sold on 15th April, 2011 for Rs. 25,00,000. He purchased a residential house in May 2011 for Rs. 6,50,000.

Compute the taxable income of Mr. Sanjeev for the Assessment Year 2012-13. Cost of inflation indexes for 1983-84 is 116; for 1987-88 is 150 and for 2011-12 is 785.

Unit-IV

Q. 4. From the particular given below, compute the total income for the previous year 2011-12 : **16**

		Rs.
(i)	Income from let-out house (computed)	6,000
(ii)	Annual Rental Value of his self occupied house	4,000
(iii)	Municipal Taxes	400
(iv)	Profit from electric goods business after depreciation	10,000
(v)	Profit from agency business	3,000
(vi)	Speculation gain from Gold	3,000
(vii)	Long term capital gain	7,000
(viii)	Short-term capital gain	2,000

The following losses have been brought forward from previous year 2010-11.

(i)	Loss from electric goods business	6,000
(ii)	Loss from agency business	1,000
(iii)	Speculation loss from silver	4,000
(iv)	Unabsorbed Depreciation	1,000
(v)	Long-term capital loss	5,400
(vi)	Short-term capital loss	3,000

OR

A, B & C are partners in a firm, sharing profit and losses in the proportion of 2/5th, 2/5th and 1/5th respectively. The profit and loss account for the year ended 31st March 2012 is as follows : **16**

Particular	Rs.	Particular	Rs.
To Sundry Trade Expenses	1,01,800	By Gross Profit b/d	4,90,000
To Interest on Capital @15%		By Interest on Securities	10,000
A-15,000			
B-15,000			
C-15,000	45,000		
To Rent to B	30,000		
To Salary to B	72,000		
To Commission to C	36,000		
To Net Profit	2,15,200		
	5,00,000		5,00,000

Compute the Total Income of the firm. The firm fulfils the condition of Section 184. Interest is paid to partners as per the partnership deed.

Unit-V

Q. 5. Write brief note on : **16**

(a) VAT-Merits & Demerits

(b) Sales Tax-Objects & Provision

OR

"Tax Planning is a legal and moral way of Tax Saving."

Discuss the statement. 16